

Chapter 2 – Eligibility and Who Must Register for a Taxpayer Identification Number (TIN)

2.1 Introduction

The **Taxpayer Identification Number (TIN)** is the official identification number issued by the Inland Revenue Department (IRD) to taxpayers in Sri Lanka. Registration requirements vary depending on the legal status of the applicant, such as an individual, partnership, company, trust, or other entity.

From **1 April 2024**, Sri Lanka introduced mandatory TIN registration for individuals aged 18 years and above. Although registration is compulsory for eligible persons, obtaining a TIN does **not** automatically create an obligation to pay income tax. Income tax liability depends on the applicable provisions of the Inland Revenue Act and the individual's taxable income.

2.2 Who Must Register for a TIN?

The following categories of persons and entities are generally required to obtain a TIN.

2.2.1 Individuals

Individuals who are required to register include:

- Sri Lankan citizens aged 18 years or above.
 - Salaried employees.
 - Self-employed individuals.
 - Sole proprietors.
 - Freelancers.
 - Professionals (such as doctors, lawyers, engineers, accountants, consultants, etc.).
 - Individuals earning rental income.
 - Individuals earning investment income.
 - Persons carrying on any trade, business, profession, or vocation.
 - Individuals required to interact with IRD e-Services.
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2.2.2 Sole Proprietorships

A sole proprietorship is owned by a single individual. The business owner must register for a TIN using their personal information together with details of the business.

Information generally required includes:

- Business name
 - Business registration number
 - Principal business activity
 - Date of commencement
 - Business address
 - BOI registration status (if applicable)
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2.2.3 Partnerships

Registered partnerships are required to obtain a TIN.

Registration generally requires:

- Partnership registration certificate
 - Details of all partners
 - National Identity Cards (NICs) or passports of partners
 - Supporting registration documents
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2.2.4 Companies

All registered companies should obtain a TIN.

This includes:

- Private Limited Companies
- Public Companies
- Unlimited Companies
- Companies Limited by Guarantee
- Foreign Companies
- Offshore Companies

Company registration generally requires information relating to:

- Certificate of Incorporation
- Company registration details
- Directors
- Registered office

- Principal business activity
 - Articles of Association
 - Registrar of Companies (ROC) documents
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2.2.5 Trusts

Trusts are also eligible for taxpayer registration.

Generally required documents include:

- Trust Deed
 - Identification documents of trustees
 - Supporting registration documents where applicable.
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2.2.6 Joint Ventures

Joint ventures undertaking business activities in Sri Lanka may register for a TIN.

Supporting documents may include:

- Joint Venture Agreement
 - Copies of partners' TIN certificates
 - Letter of authority (where applicable)
 - Project documentation.
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2.2.7 Non-Governmental Organizations (NGOs)

Registered NGOs may obtain a TIN where required for tax administration purposes.

Registration generally requires organizational registration documents together with supporting identification and authorization documents.

2.2.8 Government and Semi-Government Institutions

Government organizations and semi-government institutions may register as taxpayers where applicable.

Supporting documents may include:

- Gazette or Act establishing the institution
 - Letter of authorization
 - Registration documents.
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2.2.9 Foreign Nationals

Foreign nationals conducting business or earning taxable income in Sri Lanka may require a TIN.

Identification is generally established using:

- Valid passport
 - Local address (where applicable)
 - Supporting business or employment documentation.
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2.3 Who May Need a TIN Even If They Do Not Pay Income Tax?

Having a TIN does not necessarily mean that income tax is payable.

A TIN may still be required for individuals who:

- Are students aged 18 years or above.
 - Are unemployed.
 - Are homemakers.
 - Have no current taxable income.
 - Earn less than the income tax threshold.
 - Receive foreign income.
 - Maintain bank accounts.
 - Own vehicles or property.
 - Need to use IRD electronic services.
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2.4 Situations Where a TIN Is Commonly Required

A TIN may be requested when carrying out various financial, legal, and administrative activities, including:

Banking

- Opening certain bank accounts.
- Maintaining specific banking relationships.
- Submitting self-declarations relating to withholding tax on interest.

Property

- Registering land ownership.
- Registering deeds.
- Property transactions.

Motor Vehicles

- Vehicle registration.
- Transfer of ownership.
- Renewal of revenue licences.

Business Activities

- Registering businesses.
- Import and export activities.
- Regulatory compliance.

Government Services

- Building approvals.
- Various public administrative procedures.
- Access to IRD online services.

2.5 Persons Who May Not Immediately Have an Income Tax Liability

Registration for a TIN should not be confused with paying income tax.

A registered taxpayer may have **no income tax payable** if, for example:

- Their taxable income is below the applicable personal relief threshold.
- They have no taxable income during the relevant Year of Assessment.

- Their available reliefs and deductions reduce their tax liability to zero.

Even in these situations, the individual may still be required to hold a valid TIN for administrative or legal purposes.

2.6 Automatic Registration

The Inland Revenue Department has introduced mechanisms to improve taxpayer registration.

According to the uploaded guidance, information received from third parties, including banks and certain government agencies, may be used to identify persons who should be registered for a TIN. In some circumstances, individuals may receive a TIN through these processes and may later need to activate their IRD e-Services account or update their taxpayer details.

2.7 Key Points

- A TIN is the official taxpayer identification number issued by the Inland Revenue Department.
- Registration requirements differ for individuals, businesses, companies, partnerships, trusts, and other entities.
- Individuals aged 18 years and above are generally required to register for a TIN.
- Possessing a TIN does not automatically create an obligation to pay income tax.
- A TIN is increasingly required for access to IRD services and many financial and government transactions.
- Tax liability depends on taxable income and the applicable provisions of Sri Lankan tax law, not simply on holding a TIN.